Understanding Crypto Taxes

A Comprehensive Guide to U.S. Cryptocurrency Tax Obligations

Important Disclaimer: This document is for informational purposes only and does not constitute tax, legal, or financial advice. IRS guidance is subject to change. Please consult a qualified tax professional regarding your specific circumstances.

U.S. taxpayers are required to report cryptocurrency sales, conversions, payments, and income to the IRS. In the eyes of the IRS, crypto is considered a **digital asset**, treated similarly to stocks and bonds.

Taxable vs. Non-Taxable Events

Non-Taxable Events	Taxable Events
BUYING & HOLDING Purchasing crypto with USD and holding it in a wallet. **SELF-TRANSFERS** Moving crypto between wallets or accounts you own. **GIFTING** Giving up to $18,000 per recipient (2024 limit) is generally not taxable for the giver. **CHARITY** Donating directly to a qualified 501(c)(3) nonprofit.	**SELLING FOR CASH** Exchanging crypto for U.S. Dollars (subject to Capital Gains). **CRYPTO-TO-CRYPTO** Trading one asset for another (e.g., BTC to ETH) is a taxable sale. **SPENDING CRYPTO** Using crypto to buy goods or services (subject to Capital Gains). **EARNING INCOME** Getting paid in crypto, mining, staking, or airdrops (subject to Income Tax).

Calculating Your Taxes

1. Income Tax

If you receive crypto as a reward or payment, it is taxed at your **ordinary income tax rate** based on the fair market value at the time you received it. This includes:

- Mining and Staking rewards.
- Airdrops or hard forks.
- Payment for services rendered.

2. Capital Gains & Losses

When you sell or trade crypto, your tax is based on the difference between your **Cost Basis** (what you paid) and the **Sale Price**.

- **Short-Term:** Assets held for 1 year or less. Taxed at ordinary income rates.
- **Long-Term:** Assets held for more than 1 year. Taxed at reduced rates (0%, 15%, or 20%).

3. Handling Losses

If you sell at a loss, you can use that loss to offset other capital gains. If your losses exceed your gains, you can deduct up to **$3,000** against your ordinary income, with any remainder carrying over to future years.

Inventory Tracking Methods

To determine which specific coins you are selling, you can choose between several accounting methods in your settings:

- **HIFO (Highest In, First Out):** Usually minimizes current taxes by selling the most expensive coins first.
- **FIFO (First In, First Out):** Sells the oldest coins first.
- **LIFO (Last In, First Out):** Sells the newest coins first.

For more information, visit **IRS.gov** or review your exchange's official tax center settings.